

The lesson to be drawn—trite maybe, but as powerful as ever and just as hard to heed—is to buy stocks when nobody wants them. Buying the ones that are out of favor and selling the ones that are most popular—which isn't a bad definition of value investing—does seem to work over a long period of time. Of course, doing it well will give you better results than doing it badly. And something can be despised because it's despicable. You must have confidence that the value is there.

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It's easier, I realize, to advise contrarianism than it is to practice it. It takes a strong will to keep from being drawn into the middle of the herd. It's so much more comfortable to play it safe and be an Inside Zebra. But if you want to stand out from the pack, you have to stand outside the pack.

Yes, you may be exposing yourself to more risk, but you can't make money in the market without taking on risk. And there are ways, which we'll consider as we go along, to keep the lions at bay.